



MEMORANDUM

THE PHILIPPINE STOCK EXCHANGE, INC.

- | | |
|---|--|
| ☒ Trading | ☐ Public Advisory |
| ☐ Disclosure | ☐ Administrative/Technology Matters |
| ☐ Listing | ☐ Others: |

TO : THE INVESTING PUBLIC AND TRADING PARTICIPANTS

SUBJECT : PROPOSED RULE AMENDMENT AND GUIDELINES FOR TRADING WITHOUT SETTLEMENT

DATE : April 10, 2018

In relation to Memorandum CN_2017-0060, please be advised that the Exchange has proposed to amend Article II, Section 1 of the Revised Trading Rules as follows:

ARTICLE II TRADING DAY SCHEDULE

SECTION 1. Trading Day and Non-Trading Day

Every day shall be a Trading Day except for Saturdays, Sundays, **NATIONAL** holidays, special **NON-WORKING DAYS**, and such other days as may otherwise be declared by the SEC or the Exchange, through its President or other duly authorized representative, to be a non-Trading Day; **PROVIDED, HOWEVER, THAT IT IS THE POLICY OF THE EXCHANGE TO OPERATE AND REMAIN OPEN FOR TRADING ON DAYS SUCH AS:**

- (1) **SPECIAL NON-WORKING DAYS IN THE NATIONAL CAPITAL REGION; AND**
- (2) **DAYS WHEN WORK IN GOVERNMENT OFFICES IS SUSPENDED BUT NOT IN THE PRIVATE SECTOR.**

The foregoing amendments have been duly submitted to the Securities and Exchange Commission for approval. In the same vein, the Securities Clearing Corporation of the Philippines ("SCCP") and the Capital Markets Integrity Corporation ("CMIC") also intend to issue their respective Guidelines for Trading Without Settlement ("Guidelines"), to provide guidance to the trading participants/clearing members on the implementation of the proposed rule. In this regard, all concerned parties are invited to submit their comments on the SCCP and CMIC Guidelines which are attached as Annex "A" and Annex "B", respectively.

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Please email your comments to the following **on or before April 25, 2018** to the following:

Attachment	Contact Person	Email Address
SCCP Guidelines	Ms. Rosemarie Ojo	rbojo@sccp.com.ph
CMIC Guidelines	Mr. Kenneth Michael De Castro	info@cmic.com.ph

For your information and guidance.

(Original Signed)

RACHELLE C. BLANCH

VP & Head, Market Operations Division

Noted by:

(Original Signed)

ROEL A. REFRAN

Chief Operating Officer

CTD / HRAD	MOD / TD	IRD / IAG	CMDD / CPIRD	OGC / CGO	COO
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SCCP Guidelines for Trading without Settlement

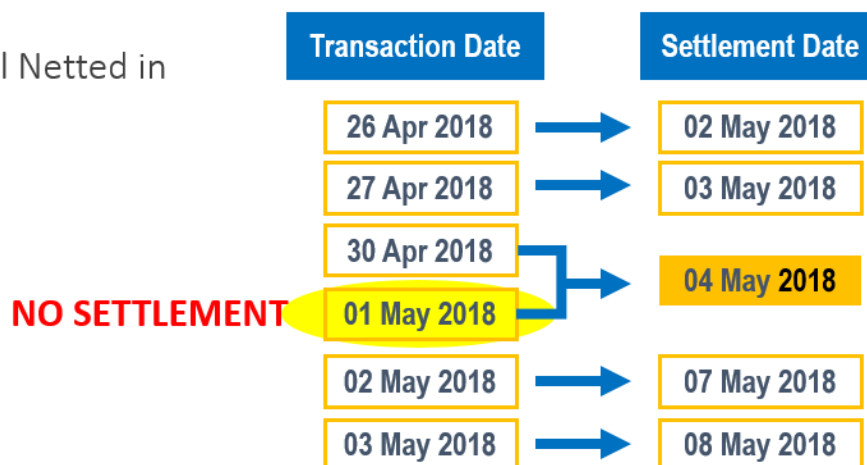
If a trading day falls on a day when government offices are closed including the BSP payment and settlement operations (PhilPaSS), and BSP FX trading, the settlement date for that specific trading day will still be on trade date plus three banking days (T+3) which will coincide with the settlement of trades that are also scheduled for that date. As a result, there will be one settlement day wherein trades for more than one day will be settled.

The following procedures will be observed in cases where there will be trading in the PSE but there will be no settlement due to the absence of PhilPaSS operations, and BSP FX trading:

1. Affected settlement dates for outstanding and unsettled trades shall be moved accordingly on a rolling T+3 settlement cycle basis.
2. Trades executed on the affected dates shall be consolidated/netted and will be settled together with trades executed on the previous day where there was settlement.

Sample Illustration:

Settlement Mode is All Netted in
One Settlement Day



3. The final consolidated Obligation Report of affected trade dates will be made available in the morning of T+2 of the last trading day without settlement, at the latest.
4. Mark-to-market computations shall only be provided on the last trading day without settlement.
5. On days when there is trading without settlement, Central Clearing and Central Settlement (CCCS) system, will be open and accessible to the Clearing Members but there will be no processing of any settlement instructions (i.e. security transfers, cash transfers).
6. For Dollar Denominated Securities (DDS) that are traded when the FX market is closed, applicable taxes and fees to be paid in Philippine-pesos shall be computed based on the latest BAP Spot USD/PHP Closing rate.

CMIC Guidelines for Trading without Settlement

1. Reportorial requirements in case of breach in general obligations

On days when the Exchange continues to operate and remains open for trading when the BSP payment and settlement operations (PhilPaSS), and BSP FX trading are suspended, the non-settlement of trades by the Securities Clearing Corporation of the Philippines (SCCP) on these days may increase the Trading Participants’ (TPs) Aggregate Indebtedness to Net Liquid Capital (AI to NLC) ratio. If the AI to NLC ratio exceeds 1,700% but is less than 2,000%, the TPs are required to report to the Securities and Exchange Commission and the CMIC on a daily basis their AI to NLC ratio until such time that it falls to 1,700%.

As for the reserve requirement, if upon computation, an additional deposit is required, the deficiency so computed shall be deposited not later than one (1) hour after the opening of banking business on the second following business day (Article VII, Section 19 of the CMIC Rules). The term “business day” shall refer to the day when the PhilPaSS resumes its operations.

2. Classification of receivable from customers

In determining whether a customer account is deemed past due in the computation of the TP’s Counterparty Risk Requirement and Reserve Requirement, the receivable from customers at T+0, regardless of the transaction date, shall only be classified as past due if such has not been settled on settlement date. Hence, the TP’s back-end system providers shall modify the system in such a way that these customer accounts are appropriately classified as past due accounts.

3. Deadline for the submission of various reports

Unless otherwise stated by these guidelines, the periods prescribed by the securities laws for the submission of various reports shall remain the same, considering that only the settlement activities are suspended.

4. Sending of customer-related documents

Customer-related documents, such as confirmation invoices and statements of account, shall be provided to the clients within the periods prescribed by the securities laws.

5. *Conversion of dollar-denominated securities trading accounts*

For purposes of computing the Risk-Based Capital Adequacy (RBCA) Ratio, the TPs eligible for Dollar-Denominated Securities (DDS) trading shall use the latest BAP Spot USD/PHP Closing rate in converting the DDS accounts.